Bolsonaro remains favorite in Brazil elections despite drop in odds

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【メール原文】

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summary

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EG has lowered Senator Flavio Bolsonaro’s odds of winning Brazil’s presidential runoff to 70% from 80% reflecting narrowing polls
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Ian Bremmer sees the US increasingly leaning towards a neutral position in the Russia-Ukraine conflict, while seeing significant military strikes against Iran as more likely than not after the midterms
*
Venezuelan opposition leader Maria Corina Machado’s criticism of a partner in the US-backed oil deal risks adding friction with Washington
*
Countries and sectors in this edition of the Daily Brief include the US, EU, Brazil, China, Iran, Mexico, Russia, Turkey, Ukraine, Venezuela, energy, climate, resources, and geoeconomics,

the top line

Brazil—Bolsonaro’s odds of winning drop to 70%

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EG has reduced Bolsonaro’s winning odds to 70% from 80%, with narrowing polls suggesting that the Workers’ Party campaign is gaining traction. His average lead over President Luiz Inacio Lula da Silva has dropped to about one point (which probably signals a 2-point lead once a likely voter model is considered), as the campaign shifts attention toward issues such as the shorter workweek.
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Bolsonaro came out with a slight edge in the first presidential debate on 18 October, though the ugly exchanges between the candidates probably turned off undecided voters rather than persuading them to support either camp.
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The final week of campaigning could prove decisive, and effective social media presence will matter just as much as official ads. The final Globo debate on 23 October is a key signpost, and late dynamics may

lead EG to update its odds.

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Read more here . Reach out to discuss: brazilresearch@eurasiagroup.net .

EG Update—Ian Bremmer on Russia-Ukraine, US-Iran, and mid-terms

On the Russia-Ukraine conflict: “The US is increasingly leaning toward a militarily neutral position in the war, with political alignment toward Putin. Trump is looking to reengage with the Russian president irrespective of escalation in the Ukraine war, while supporting Zelenskyy’s ouster…. All of Trump’s decisions around Zelenskyy and Putin over the past week have been made unilaterally, absent consultations with NATO allies providing the lion’s share of support for Ukraine.”

On the US-Iran war: “It now looks more likely than not that the United States is going to order significant military strikes against Iran...after the midterms…. It’s still very hard to see Iran changing its negotiating position on the back of these (comparatively restrained) strikes.”

On midterm “so whats”: “Trump governs by executive order. It’s not as if he relies on the legislature for much. But still, I expect despite all his uniqueness, Trump becomes more of a lame duck (and more quickly) than people believe.”

For more, see this week's EG Update .

Chart of the Day

The value of US funds’ AI equity holdings rose through the second quarter of 2026, but the data suggest this mainly reflects moves in market prices rather than funds actively changing their positions. Reach out to discuss: geoeconomics@eurasiagroup.net

Turkey—MSCI action intensifies pressure on market cleanup

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MSCI on 15 October froze additions and upward weighting adjustments to its Turkish indexes and warned of a potential downgrade from emerging-markets status in 2027, sending the BIST 100 down 3%.

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With Turkey accounting for just 0.4% of the MSCI Emerging Markets Index (see chart below), the immediate downside should be limited, but the decision could delay Turkey’s equity recovery and pressure the lira.

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The government’s cleanup following September’s fund-bubble crackdown is losing momentum as pressure for accountability grows within its own base.

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Finance Minister Mehmet Simsek will likely remain in office despite efforts to make him a scapegoat.

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Read more here . Reach out to discuss: mena@eurasiagroup.net .

Venezuela—Machado risks friction with Washington over oil deal

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Machado publicly criticized businessman Alejandro Betancourt, a partner in the US-backed oil deal, calling him responsible for “obscene corruption,” though she did not criticize the US agreement itself.

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The comments reflect a difficult balancing act for Machado, who is seeking to remain in the good graces of the US while appealing to a domestic audience that increasingly sees the oil deal as benefiting the US more than Venezuela.

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Even so, her criticism risks adding friction with the Trump administration amid broader frustration that she is getting in the way of its economic objectives.

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Read more here . Reach out to discuss: latinamerica@eurasiagroup.net .

upcoming conference calls

19 October 11:00 AM ET—MENA Crisis Update. Register here .

22 October 10:00 AM ET—US politics update with former Treasury deputy secretary Derek Theurer. Register here .

eg in brief

Mexico—US trade and security talks will progress despite rhetoric: The two sides have edged toward a deal that would reduce Section 232 tariffs, but Commerce Secretary Howard Lutnick has publicly opposed significant cuts to tariffs on Mexican autos, steel, and aluminum, and the fourth round of bilateral negotiations has been postponed. Trade talks will unfold alongside persistent US security pressure, after President Donald Trump suggested that land operations against Mexican criminal organizations could begin. Meanwhile, HR Ratings’ downgrade of Mexico to BBB from BBB+ will heighten the administration’s sensitivity to signals from other credit rating agencies. Read more here . Reach out to discuss: mexico@eurasiagroup.net .

EU, autos—Car emissions rules likely to face further weakening: France and Germany are reportedly close to a compromise that would lower the required cut in new-car CO2 emissions by 2035 to 80% from 2021 levels, and EG places a 75% probability on final legislation diluting the commission’s proposed 90% target. Negotiations over “Made in Europe” requirements under the Industrial Accelerator Act will determine the eventual compromise, with disagreements over whether third countries such as the UK and Turkey should qualify still unresolved. Greater flexibility will slow, but not reverse, the trend toward fleet electrification, though it would weaken incentives for EV and battery investment. Read more here . Reach out to discuss: ecr@eurasiagroup.net .

US, China, critical minerals—US rare-earth consumers face continued limits and uncertainty: US end-users of rare-earth products are reporting improvements but persistent delays in getting supplies from China, averaging four to six months, with delays most common for samarium-cobalt magnets, gallium, and yttrium. The Trump-Xi summit does little to change these dynamics; the two sides extended the existing trade truce by two months, allowing sales to continue into January, and EG expects a further extension. Read more here . Reach out to discuss: ecr@eurasiagroup.net .

Upcoming events:

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20 October: Central bank decisions: China and Hungary.
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21 October: Events: Tesla, Meta, and IBM earnings; Data: Japan trade, and UK CPI; Central bank decisions: Indonesia, Israel, and Namibia.
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22 October: Central bank decisions: Philippines, South Korea, and Turkey.
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23 October: Data: Eurozone, Japan, UK, and US S&P, India HSBC Manufacturing PMI, Taiwan industrial production, and US UMich consumer sentiment; Central bank decisions: Kazakhstan and Russia.
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25 October: Events: Brazil presidential runoff.

The EG Daily Brief is compiled by Jens Larsen, Lucy Eve, Babak Minovi, Pietro Guglielmi, Rahul Bhatia, Martina Silva, with the help of Blaise Hanson, Luisa Moreira, and Marianne Moreira.

We love feedback! Send us a note at DailyBrief@eurasiagroup.net .

closing quip

“Nothing justifies it, nothing explains it, nothing excuses it.”—French President Emmanuel Macron said in a televised address on 18 October.

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